



Profit-and-loss statement

A profit-and-loss statement is a financial statement that shows all revenues, costs, and expenses during an accounting period. It is also known as an income statement, or an income and expense statement.

How it works

The purpose of the profit-and-loss statement is to show the profitability of a business during a given period. Along with the cash-flow statement and the balance sheet, it is the most important financial statement a business produces, as it shows investors how

profitable the company is. The statement usually works by showing revenues and gains, less expenses and losses from business activities, as well as the sale and purchase of assets. Businesses that are sole proprietorships or partnerships are generally not required to submit profit-and-loss statements.

How to read a profit-and-loss statement

Profit-and-loss statements commonly illustrate the financial performance of a business over a particular month, quarter, or year. The key pieces of information are the figures for turnover (or revenue) and operating profit. If profits are going to be lower than expected, the company may put out a profit warning in advance of releasing the statement.



Case study: profit-and-loss statement

This statement taken from the 2013 annual review of Wessex Water, a UK utility company, shows it was making a healthy profit (at the time, the exchange rate was £1 = \$1.58).

	Year 2013 £m	Year 2012 £m
Amount of money taken by the business over a certain time; in this case, there was a 5.3 percent increase in turnover from the previous year		
• Turnover	492.1	467.5
Operating costs	(268.1)	(248.5)
Profit earned from the business's core operations after expenses have been taken off, but before taxes have been deducted; it does not include money made on investments		
• Operating profit	224.0	219.0
Interest payable and similar charges	(86.9)	(81.7)
Interest receivable	2.9	1.2
Other finance costs	(1.5)	(1.0)
Profit before tax after all income and expenses have been taken into account, excluding extraordinary payments		
• Profit on ordinary activities before taxation	138.5	137.5
Taxation on profit on ordinary activities	(30.6)	(44.3)
Level of profit that can be paid out in dividends to the company's shareholders.		
• Profit attributable to shareholders	107.9	93.2

Figures in parentheses represent negative numbers.